

Life itself is based on trends. Birds start south for the winter and keep going. Companies track trends and alter their products accordingly. Tiny protozoa move in trends along chemical and luminescent gradients.²

Absolute momentum is quintessential trend following.³ The goal of trend following is to adhere to Warren Buffett's first rule of investing—do not lose money. His second rule is never to forget the first rule. Some well-known discretionary momentum investors of the past, such as Gerald Tsai, quickly went from hero to zero when they were unable to determine a change in market direction. In today's environment of high investment volatility (HIV), those who are investment active should use some form of protection and always practice safe investing.

Trend-following methods, in general, have slowly achieved some recognition and acceptance in the academic community. It is for many (but not all), no longer considered “voodoo finance.”⁴ A number of researchers have found evidence of profitability and modest predictive power when using trend-following methods and technical analysis signals to forecast future returns.⁵ A recent paper by Lemperiere et al. (2014) called “Two Centuries of Trend Following,” identified highly significant anomalous excess returns based on an exponentially weighted moving average strategy applied to four asset classes (stock indexes, commodities, currencies, and bonds) across seven countries. Results were stable across both time and asset class, extending all the way back to 1800 for stock indexes and commodities.

In a sense, all momentum is trend following. Relative strength momentum looks at the trend of one asset compared to another, while absolute momentum looks at the trend of an asset with respect to its own past. Both forms of momentum do essentially the same thing: identify price strength that it likely to persist.

While researchers have thoroughly scrutinized relative momentum over the past 20 years, they have ignored trend-following absolute momentum, for the most part, until just recently. This is unfortunate, since absolute momentum often provides better results and has more flexibility than relative momentum. You can apply absolute momentum to a single asset, whereas you need two or more assets to use relative momentum. With relative momentum, you are always eliminating assets from your portfolio in order to use the strongest ones. Absolute momentum lets you hold on to